

Globalization

Although 'globalization' is a recently coined word, the idea is not a new one. For thousands of years, people have travelled to other countries and established links for exchanging goods and ideas, and commercial trade between nations has long been a source of economic prosperity. What has changed, however, is the speed and ease with which we can communicate, travel and move goods around the world. International trade has expanded massively in recent years, helping to increase prosperity in the developed world. Interdependence between rich and poor countries has sometimes been mutually beneficial, but often the least developed countries do not benefit as much as their richer trading partners. There are a number of reasons for this: richer countries tend to trade with one another in higher value goods and services (often in trading blocs such as the EU), and with poorer countries to provide raw materials and cheap labour; and the poorer countries are often in competition with one another providing similar resources.

